

DRIVING FORCE

Top govt initiatives to aid local manufacturing

- Import duty raised from 20% in Feb. 2020 to 70% in Mar. 2023 to discourage Chinese imports
- All toys, whether manufactured domestically or imported, to follow Indian Standards on Toys
- India signed two FTAs—CEPA with the UAE and ECTA with Australia—for zero-duty market access for Indian toy exporters



"Today, expensive toys have better sales compared to the cheaper ones; that's definitely a change we are seeing in the market"

NITIN CHHABRA
Co-founder & CEO, Ace Turtle

STUMBLING BLOCKS

Issues faced by manufacturers

- Indian market doesn't offer the volumes that manufacturers require for economies of scale
- The ecosystem to build high-value categories of toys such as electronic toys has to mature
- Prices of raw material—which constitutes 50-60 per cent of the product cost—are higher in India than in China
- Several critical toy-making inputs such as glass eyes for dolls, beads, imitation stones, various plastics, motors and remote controls have to be imported
- Lack of talent for product development
- Unauthorised Chinese imports continue, often in knocked-down form

Graphic by TANMOY CHAKRABORTY

including to China," says Sanjiv, joint secretary, Department for Promotion of Industry and Internal Trade.

In January 2021, the government brought toys under a quality control order (QCO), requiring all toys, whether made domestically or imported, to follow the Indian Standards on Toys, so that no company could sell toys in India without a Bureau of Indian Standards (BIS) licence and children were not exposed to sub-standard toys or toxic material. "These initiatives helped level the playing field for Indian toy manufacturers. The QCO accelerated the ecosystem development of quality toy manufacturing in the country," says Mohit Bhasin, global co-lead and national lead for economic growth, government and public services, KPMG India. As of January 2024, 1,454 domestic and 36 foreign toy manufacturers had got such licences.

GROWING DEMAND

There has been a push from consumers as well. Aspirational middle-class parents today want to spend on premium toys for their children. "Today, expensive toys have better sales compared to cheaper ones," says Nitin Chhabra, co-founder & CEO at Ace Turtle, which launched global toy retailer Toys"R"Us and Babies"R"Us in India. Mekashi Toys, too, switched from manufacturing mass market toys, including dolls and board games, to focusing solely on kids' electric cars priced between Rs 10,000 and Rs 20,000, says its owner Kartik Jain.

Global retailers have taken note of the India toy story—IKEA and Walmart have started sourcing from India. Funskool India, an MRF Group company and one of the country's largest toymakers, has doubled its manufacturing capacity. Educational and learning toys brand Smartivity is also raising its capacity by a staggering 70 per cent this fiscal. International brands, too, are looking at India as their manufacturing hub as a part of their China Plus One strategy. "Hasbro, Ferrero, Spin Master, Hornby Hobbies, IMC Toys etc. are increasingly looking to source toys through their Indian contract manufacturers," says Bhasin. In June 2022, leading global brand Asmodee granted Funskool India the rights to manufacture and distribute their popular board game, Abalone. Aequs, one of India's biggest contract manufacturers, signed a deal in December 2023 with Stone Sapphire to make Disney-licensed pullback cars from its facilities in Karnataka. The firm is also developing India's first toy manufacturing cluster, the Koppal Toy Cluster in Karnataka, which began operations in July 2023.